

Federal Reserve FedNow Service: Instant Payments Settlement Specification

24x7x365 Real-Time Gross Settlement (RTGS) Invariants, Liquidity Rails & ISO 20022 Integration

Standard Setter:	Federal Reserve Financial Services (FRFS)
Specification ID:	FEDNOW-OS-2023
Classification:	Central Bank Instant Payment System Specification
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Architectural Purpose & 24x7x365 Operation

FedNow provides continuous real-time gross settlement (RTGS) between participating depository institutions, eliminating settlement lag and weekend counterparty credit exposure.

2. Irrevocable Settlement Invariants

Once the FedNow Service acknowledges a transaction via pacs.002 status report, credit transfer settlement across Master Accounts is irrevocable and final.

3. End-to-End Latency & SLA Guarantees

Strict processing target: credit transfer messages must be processed, settled, and confirmed within a target SLA of under 3 seconds end-to-end.

4. Liquidity Management Transfers (LMT)

Specialized transfer mechanisms allowing participants to balance their FedNow accounts from master reserve balances or credit facilities during weekends and non-business hours.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.